

now. But here's the general idea: Roth IRA contributions are taxed today, while deductible IRA contributions are taxed when you take them out. So if you suspect that you will be in a lower tax bracket when you retire than the one you're in today, a deductible IRA makes more sense. I admit that this one is a crapshoot.

- **Will I need to withdraw my IRA money in the next few years?** This is a big one. You can withdraw the money you've put into a Roth IRA at any time without penalty (though you will have to pay a penalty if you withdraw any of the interest on that money). Although this is not advisable—once you've taken out the money, it can't be replaced—it does provide more emergency protection than a traditional IRA, which you can't tap at all under most circumstances without paying tax and penalties. (For details on withdrawing money from IRAs, see chapter 6).

My advice generally is to put as much money as you can in a Roth IRA and leave it there. But if you have reason to believe that a deductible IRA would be better for you, look into the details before you make any decisions. Check out the IRA comparison calculators available at websites like Morningstar (screen.morningstar.com/IRA/IRACalculator.html) and MoneyChimp (www.moneychimp.com/articles/rothira/rothcalc.htm).

LETTING THE BOSS PLAN YOUR RETIREMENT

For years, the theory behind 401(k)s was “you snooze, you lose,” meaning that if you didn't take action and invest in one, you'd end up with no money for retirement. In 2006, the rules changed and the Department of Labor told companies they were allowed to automatically enroll employees in their retirement plans—as long as they put the money into low-risk, well-diversified investments. While this is good news for you if you're already signed up, you shouldn't assume that the choices made on your behalf are the best that they can be. Check them out for yourself.